

ACRAS ADVISORY

Intelligence-Driven Risk Assessment Report

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Executive Credit Risk Assessment

1. Executive Summary

The credit profile for Company ID 1090 is assessed as **fragile**, exhibiting severe financial distress across multiple critical indicators. Fundamental metrics reveal critically low liquidity (Current Ratio 0.32), high leverage (Debt-to-Equity 1.88), and alarming operational decline, evidenced by negative revenue growth (-9.6%) and a low EBITDA margin (8%). Compounding these issues is a significantly high delinquency rate (Mora Ratio 0.46) and a poor Bureau Score (346.0). The Machine Learning (ML) quantitative risk analysis corroborates this assessment, projecting a high Probability of Default (PD) of 39.34% and classifying the entity in a Medium Risk Tier, driven primarily by its payment behavior and deteriorating financial health. The confluence of these factors indicates a company struggling to meet its short-term obligations, manage its debt, and sustain its operations, presenting an unacceptably high credit risk.

2. Liquidity and Solvency Analysis

The company's liquidity position is critically weak. A Current Ratio of 0.32 signifies that current assets are grossly insufficient to cover short-term liabilities, indicating a severe inability to meet immediate financial obligations. For every dollar of current liabilities, the company possesses only 32 cents in current assets, pointing to imminent cash flow challenges and potential operational disruptions. This level of liquidity risk is a primary concern, suggesting a high probability of default on short-term commitments.

Regarding solvency, the Debt-to-Equity ratio stands at 1.88. This indicates a substantial reliance on debt financing relative to equity, with nearly two dollars of debt for every dollar of equity. While some industries may tolerate higher leverage, this ratio places the company at the higher end of what is considered manageable, particularly given its other financial weaknesses. This high leverage exposes the company to significant solvency risk, making it highly vulnerable to interest rate fluctuations, economic downturns, and limiting its capacity to absorb further financial shocks or secure additional financing for strategic initiatives. The combination of poor liquidity and elevated leverage creates a precarious financial structure.

3. Creditworthiness & Market Context

The company's creditworthiness is severely compromised. Its Bureau Score of 346.0 is indicative of a high-risk borrower, reflecting a history of poor credit management and potentially missed payments. This low score will significantly hinder its ability to access credit on favorable terms, if at all.

Further exacerbating the credit risk is an exceptionally high Mora Ratio of 0.46, signifying substantial delinquency in payment obligations. This means that nearly half of the company's credit obligations are past due, which is a direct and strong indicator of financial distress and an inability or unwillingness to honor

commitments. This level of delinquency is a critical red flag, demonstrating a systemic issue with cash flow management and debt servicing.

The Sector Risk Score of 4.00, while not the highest possible, suggests that the industry environment itself carries a moderate level of risk. However, the company’s internal financial and operational issues appear to be the predominant drivers of its poor performance, rather than solely external sector pressures. The combination of a low Bureau Score and a high Mora Ratio paints a clear picture of a company with a deeply troubled credit history and current payment behavior.

4. Key Performance Indicators (KPIs)

Financial Metric	Reported Value	Risk Assessment
Current Ratio	0.32	High
Debt-to-Equity	1.88	Medium-High
Revenue Growth	-0.096 (-9.6%)	High
EBITDA Margin	0.08 (8%)	High
Bureau Score	346.0	High
Mora Ratio	0.46	High

5. Quantitative Risk Analysis (ML Engine)

Inferred PD: 39.34% | **Risk Tier:** Medium

Qualitative Insight: The ML Credit Engine's assessment of a 39.34% Probability of Default (PD) and a Medium Risk Tier is a direct reflection and powerful corroboration of the severe financial and operational distress observed in the fundamental indicators. The model's elevated PD is primarily driven by the company's critically high Mora Ratio of 0.46. This significant delinquency rate signals a profound inability to meet payment obligations, which the ML model identifies as a potent predictor of future default. Furthermore, the negative revenue growth of -9.6% indicates a contracting business, directly impacting the company's capacity to generate the necessary cash flow to service its debts and sustain operations. This decline in top-line performance starves the company of vital liquidity, a condition starkly evident in the very poor Current Ratio of 0.32. The ML engine effectively synthesizes these interconnected factors: the lack of sufficient current assets (low Current Ratio) makes it challenging to pay bills on time, leading to increased delinquency (high Mora Ratio), which in turn, along with declining revenue, significantly elevates the statistical probability of default. The model's output thus provides a robust, data-driven validation of the severe liquidity crisis and poor credit behavior identified through traditional financial analysis, underscoring the systemic nature of the company's financial fragility.

6. Final Directive & Conclusion

Official Recommendation: REJECT

Core Rationale: The company exhibits critically high liquidity risk, severe delinquency, and negative operational performance, indicating an unsustainable financial position.

Executive Summary/Closing: The comprehensive assessment reveals Company ID 1090 to be in a state of profound financial distress, characterized by an inability to meet short-term obligations, excessive leverage, and a deteriorating operational outlook. The high probability of default projected by the ML engine, coupled with the overwhelming evidence from fundamental and behavioral metrics, leaves no room for a favorable credit decision. Extending credit would expose the institution to an unacceptably high and imminent risk of loss. The recommendation is to reject any credit application at this time, pending a significant and sustained turnaround in its financial health and operational performance.

SYSTEM FINAL RISK SCORE: 92